

AdvisorShares Pure US Cannabis ETF MSOS

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by	TheSkeptic			
			2026	2027
Price:	4.52	EPS	0	0
Shares Out. (in M):	201	P/E	0	0
Market Cap (in \$M):	908	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

Executive Summary

We are (still) long AdvisorShares Pure US Cannabis ETF (NYSE: MSOS). We recognize that there is some egg on our face as MSOS is down 36% from when [we last wrote it up in 2024](#). However, you can benefit from our continued pain as we believe that full rescheduling (from Schedule I to Schedule III) is on the five-yard line and largely procedural at this point – this critical catalyst has the potential to re-rate the space (including certain underlying companies). Worth noting that despite medical rescheduling being completed in April 2026, and full rescheduling clearly underway (more below), the space feels like a show me story, hence the opportunity. The big-picture difference between when we last highlighted the trade and today is that the Biden administration dropped the rescheduling ball, whereas the Trump administration continues to deliver on its promises related to this initiative.

Rescheduling Represents a Watershed Moment for the Industry

1. Deleveraging encumbered balance sheets as the removal of 280E tax penalties should open the door to (i) incremental cash flows reducing leverage and (ii) potential uncertain tax position (UTP) forgiveness by the IRS. This value will accrue to equity.
2. Uplisting to major US exchanges (NYSE/Nasdaq), allowing for new capital flows to the sector and improved price discovery. Trulieve (NYSE: TRLV) and Glass House (NYSE: GLAS) uplisted their medical businesses on [June 10](#) and [June 30](#) to the NYSE from the Canadian equivalent of OTC exchanges (the CSE and Cboe exchanges).
3. Potential for a lower cost of capital as the industry gains legitimacy, driving interest from new debt investors, improved financing terms, and less burdensome interest.
4. Core to our thesis is that rescheduling topples the first domino, triggering a step-function move in the valuation of the space (and its potential earnings power). Further upside exists as incremental dominoes start to fall, which become more likely on the back of the completion of the first regulatory change in decades:
 - a. Enables a pathway to access the broader banking system, including credit cards, through regulatory changes (SAFER Banking Act approval and/or FinCEN guidance changes).
 - b. Incremental state legalizations (either from existing medical programs to recreational or medical programs).
 - c. Federal ban on hemp-derived THC products taking effect on Dec 11, 2026 (the removal of hemp would reduce a competitive product with less current regulatory burdens).
 - d. Pressure on the black market, reducing pricing compression across the space as the industry continues to legitimize.
 - e. Consolidation in and across the space, leading to economies of scale and improved margins.

We expect completion of full rescheduling to help grow both top and bottom lines in this fragmented industry. We believe that it should help increase investor interest and catalyze a change in valuations.

Background and Timeline

1. [Oct 6, 2022](#): Biden announced a rescheduling review that was delayed and then eventually frozen.
2. Aug 2024-Apr 2026: Trump unequivocally expressed his pro-cannabis stance on social media, posting about legalization for adult-use in Florida ([Aug 31, 2024](#), [Sept 8, 2024](#)) and overall medical benefits ([Sept 28, 2025](#), [Apr 23, 2026](#)).
3. Dec 18, 2025: [The Executive Order](#) to accelerate the cannabis rescheduling process was published by the Trump Administration.
4. Apr 23, 2026: [Medical cannabis was rescheduled from a Schedule I to a Schedule III drug](#), following the Executive Order – this was the first regulatory process at the national level in decades. The brief highlighted elimination of 280E tax and further suggested that retroactive treatment was possible. It also set the course for the June-July 2026 public hearings surrounding full rescheduling.
5. June 29 – July 15, 2026: For the first time in history, the DEA supported full rescheduling during the public hearings.
6. Aug 17, 2026: The [DEA deadline](#) for corrections to the hearing transcript and post-hearing briefs from the June to July transcript is required by this date.

Rescheduling Process Updates

The rescheduling process that started under the Biden administration in 2022 through the Department of Health and Human Services (HHS) and the Drug Enforcement Administration (DEA) was shelved, and thus, MSOS has been incredibly weak. We are watching this change in real time.

The cannabis industry was concerned over Trump's re-election given his anti-cannabis stance during his first term in office. However, Trump quickly delivered, reversing his views into the election, with a Truth Social post in support of legalizing recreational cannabis use in Florida (narrowly failed despite presidential support). Our view has since been affirmed. President Trump issued an Executive Order in December 2025 to accelerate the rescheduling process.

In accordance with the December Executive Order, in April 2026, the Justice Department and DEA (i) reclassified medical cannabis to a Schedule III drug and (ii) initiated the full rescheduling hearing process for cannabis as a whole. As part of reclassifying medical cannabis, MSOs received partial relief from 280E tax penalties for which they are [still awaiting official guidance](#).

The first hearing toward full rescheduling was held on June 29 and concluded on July 15 after 11 days of testimony (the DEA was so efficient it skipped a day of hearings). The DEA, for the first time in history, argued in favor of rescheduling and highlighted a favorable safety profile as compared to alcohol and opioids. The next steps are as follows:

1. Proposed post-hearing briefs and edited transcript corrections were due [August 17](#) (should be complete).
2. Chief Administrative Law Judge Derek Julius issues a recommendation to the DEA Administrator. Pressure from Trump should help with timing here. We think the proposed rule will be out by the midterms, although it could be sooner or later.
3. The DEA Administrator subsequently can make a final ruling after a comment period by Designated Parties (from the hearing).

Valuation Considerations

The space is incredibly cheap, trading at 5-6x fwd EBITDA (ex. Curaleaf) with revenue growth of ~3-8%. For reference, tobacco companies such as Altria and Philip Morris (Zyn pouches) trade at 10x (1-2% growth) and 17x (6-8% growth), respectively. Best-in-class CPGs like P&G and Unilever trade at 15x (2-4% growth) and 12x (2% growth), respectively. While you are comparing mature, differentiated companies with a speculative and structurally disadvantaged space (for now), we believe this will change when the first domino (rescheduling) falls. Equities in the space have the ability to re-rate meaningfully on rescheduling alone.

We are not the only ones who think MSOs are cheap. Curaleaf Management's (please note their inherent bias) recent move to acquire Aurora Cannabis suggests they think their stock is cheap. From the M&A [press release](#) on Aug 11: *"In the event of a substantial rise in the trading price of Curaleaf Shares...the value ... offered for each Aurora Share will be*

subject to a cap of US\$5.00. This Cap Price would represent a premium of 82% over the 30-day VWAP and a 197% premium above 30-day VWAP.”

Risks We See

- Regulatory: It’s possible that medical-use could be enjoined (and so could adult-use). This would delay the tax benefits for 6-18 months, but we believe it has a low(er) probability. Issues around adult-use specifically include potential timeline delay. MSOs are pushing for September 2026 as a highly likely timeline for the final rule, but if you consider the procedural steps required, we believe a more realistic timeline could be Q4’26 to Q2’27.
 - Trump is also known as not supportive of recreational drugs or drinks – and he can thus always be a wildcard.
 - With either outcome (completion of full rescheduling or not), legal challenges are likely.
- Other regulatory: the upcoming midterm elections could reverse some of the progress made at the state-level (e.g., Massachusetts is considering repealing prior cannabis legalization steps completed).
- CEO Selling: CEO of TRLV, Kim Rivers, sold stock under a 10b5-1 plan. She’s the one who’s been in the room with Trump, so maybe she knows something others do not. Note, the plan was set to terminate on Aug 11, 2026.
- IRS/FinCEN/SAFER: if these things do not come to pass, the incremental dominoes might not fall, although we do not contemplate this for our initial valuation re-rate.
- Recession: even though cannabis claims to be recession-proof like alcohol, we think valuations would compress with less basket spending despite same-store traffic, especially if uplisting doesn’t happen or isn’t clean (medical-use only).

Catalysts We See

- July 2026-Nov 2026 (estimated): DEA should begin approving company applications for facility and dispensary registrations. There should be press releases by cannabis companies once this starts.
- Sept 2026-July 2027: If adult-use goes through, investor interest should increase in the space.
 - Uplisting to NYSE is likely given the recent uplisting of Trulieve and Glass House as well as commentary from competitors.
 - Robinhood recently [allowed for trading](#) for MSOs (which were previously not tradable, inclusive of the OTC listed stocks).
 - Banks like Morgan Stanley, Cantor, and others have started offering custody in the past 6 months, all likely on the basis of the first regulatory shift in 50 years.
- By Dec 2026: the IRS should provide guidance 280E taxes and potentially UTPs owed by MSOs, which are like debt. If not by December, it should be done post full rescheduling.
- Dec 11, 2026: intoxicating hemp is slated to go away, which would have a material impact on MSOs that are structurally disadvantaged. Hemp is sold at convenience stores, looks legitimate, and is cheap. Compare this to cannabis, which is sold at specific stores, is heavily regulated, and is of better quality. This is in question with the latest deferral, but it should stick if Senator Mitch McConnell has his way (status quo).
 - Ohio [sales surged](#) +25.5% y/y due to the immediate effects of the state level [ban](#).
- Upside from markets opening up or widening in Florida, Texas, and Virginia in 2027-2028 (where further legalization steps are in place).
 - Organic growth rates (y/y) have inflected sharply in New York (+10.4%), Florida (+8.4%), and Maryland (+6.7%) already. As more legalization occurs, we should expect this inflection to continue.
- Other unknown timelines: FinCEN and SAFER post-adult-use.
- The last quarter of earnings revealed the first signs of inflection to top-line growth across the larger multi-state operators. Curaleaf (+8.1%), Green Thumb (+4.6%), Verano (+7.7%), and Cresco Labs (+5.9%) were all up, with only Trulieve (-10.3%) down. Note, Trulieve’s number is muddled by the deconsolidation of its recreational operations as a result of uplisting only the medical business.

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Catalyst

- refer to above

Messages

No messages